TEACHER GUIDE DRAFT

IB Diploma Programme Business management HL

# Profitability and liquidity ratio analysis



Unit 3: Finance and accounts
**3.5 Profitability and liquidity ratio analysis**

A revision lesson. Pupils run a car dealership in firms of four and revise profitability and liquidity ratio analysis on their own deals. Seat each firm together. Each firm answers the topic tasks together.

## The lesson

**45-minute setting**

| Setup | Round 1 | Round 2 | Round 3 | Final questions |
|---|---|---|---|---|

### EVERY ROUND

**Firm decisions**
3 min

→

**Deals**
4½–5 min

→

**Topic tasks**
4 min

→

**B2B deal**
2½ min
from Round 2

### LESSON SETTINGS

| 30 min | 45 min | 60 min | 75 min |
|---|---|---|---|

# What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



## CEO

Staff · Sabotage from Round 2



## Finance

Capital & Loans · Investments



## Sales & Marketing

Marketing



## Operations

Seasonal stock

# Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

## 1 Current ratio

Round 1

Can they pay their bills?

**Current ratio? Type the number before ":1".**

| | |
|---|---|
| Current assets | **£60,000** |
| Owed to suppliers | **£9,200** |
| Bank overdraft | **£5,800** |

**ANSWER**

**£4**

£9,200 + £5,800 = £15,000;
£60,000 ÷ £15,000 = 4 : 1

**Why:** They hold £4 of assets for every £1 they owe soon.

## 2 Raise current ratio

Round 1

Your current ratio is 0.8.

**Which two actions would raise it?**

- **A** Swap the overdraft for a 5-year loan
- **B** Buy computers on the overdraft
- **C** Sell an unused building for cash
- **D** Use cash to buy a new ramp
- **E** Pay suppliers with cash

**ANSWER**

**✓ Swap the overdraft for a 5-year loan**
**✓ Sell an unused building for cash**

**Why:** Raise current assets or cut current liabilities, without the other moving.

## 3 Rank current ratio

Round 2

Three dealers: current assets and current liabilities.

**Order by current ratio, lowest first?**

- **A** £45,000 assets, £50,000 debts
- **B** £120,000 assets, £60,000 debts
- **C** £60,000 assets, £40,000 debts

**ANSWER**

**1. £45,000 assets, £50,000 debts**
**2. £60,000 assets, £40,000 debts**
**3. £120,000 assets, £60,000 debts**

**Why:** Ratios 0.9, 1.5 and 2.0.

# Topic tasks

## 4 Net profit margin

Round 2

Last year's accounts.

**Net profit margin, as a %?**

| | |
|---|---|
| Sales | **£120,000** |
| Cost of cars sold | **£100,800** |
| Overheads | **£12,000** |

**ANSWER**

**6%**

£120,000 − £100,800 − £12,000 = £7,200; ÷ £120,000 = 6%

**Why:** Net profit is what is left after the cars and the overheads.

## 5 Low acid test ratio

Round 3

Your current ratio is 3.5, but your acid test (quick) ratio is 0.4.

**What should you do, and why?**

**A** Leave it as it is

**B** Cut the stock you hold

**ANSWER**

**✓ Cut the stock you hold**

**Why:** Most current assets are unsold stock: cash is tied up in cars.

## 6 ROCE as a %

Round 3

Last year's accounts.

**ROCE, as a %?**

| | |
|---|---|
| Operating profit | **£16,320** |
| Share capital | **£122,400** |
| Retained profit | **£40,800** |
| Non-current liabilities | **£40,800** |

**ANSWER**

**8%**

£122,400 + £40,800 + £40,800 = £204,000; £16,320 ÷ £204,000 × 100 = 8%

**Why:** Every £1 of capital employed earned 8p of operating profit.

# Final questions

Each pupil answers 6 final questions on profitability and liquidity ratio analysis. They come from these 8 questions.

Then each pupil writes one short answer: “Analyse why a high current ratio is not always good.”

1 A campaign produces £160,000 revenue and attributable gross profit of £56,000. What is its attributable gross profit margin?

✔ **35%**

2 A dealer has current assets of £180,000 and current liabilities of £225,000. What is its current ratio, and what does it show?

✔ **0.8 to 1: short-term debts exceed the assets to meet them**

3 A finance director says the dealer is “liquid enough to get through March”. What does liquidity measure?

✔ **Whether short-term debts can be met when due**

4 A dealer’s revenue is £900,000 and cost of sales £648,000. What is the gross profit margin?

✔ **28%**

5 A dealer group’s profit before interest and tax is £126,000 and its capital employed £1,050,000. What is return on capital employed?

✔ **12%**

6 A parts business has current assets of £300,000 and current liabilities of £240,000. What is its current ratio?

✔ **1.25:1**

7 A dealer’s current ratio falls from 1.6:1 to 0.9:1 over the year. What does this suggest?

✔ **It may struggle to pay short-term debts**

8 A dealer’s revenue rises but its gross profit margin falls. Which is the most likely cause?

✔ **Cars were bought at higher prices than before**